# FINANCIAL MANAGEMENT201 ASSIGNMENT

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**Component 1: Cost-Volume-Profit Analysis**

Cost-volume-profit (CVP) analysis models how changes in selling price, cost structure and volume affect profitability, and is used here to establish the break-even point and margin of safety for the NexPod product line (Drury, 2018:167).

1.1 Variable cost per unit, contribution per unit and contribution margin ratio

| Item | Amount (R) |
|---|---|
| Selling price per unit | 18,000.00 |
| Direct materials per unit | (7,200.00) |
| Direct labour per unit | (2,400.00) |
| Variable manufacturing overhead per unit | (1,200.00) |
| Delivery and sales commission per unit | (600.00) |
| **Total variable cost per unit** | **(11,400.00)** |

Contribution per unit = Selling price − Total variable cost = R18,000.00 − R11,400.00 = R6,600.00

Contribution margin ratio = Contribution per unit ÷ Selling price = R6,600.00 ÷ R18,000.00 = 36.67%

**1.2 Break-even point in units and rand value**

Break-even (units) = Fixed costs ÷ Contribution per unit = R1,980,000.00 ÷ R6,600.00 = 300 units

Break-even (rand) = Break-even units × Selling price = 300 units × R18,000.00 = R5,400,000.00

**1.3 Expected profit and margin of safety at 420 units**

Expected profit = (Expected sales units × Contribution per unit) − Fixed costs

Expected profit = (420 units × R6,600.00) − R1,980,000.00 = R2,772,000.00 − R1,980,000.00 = R792,000.00

Margin of safety (units) = Expected sales units − Break-even units = 420 − 300 = 120 units

Margin of safety (rand) = Margin of safety units × Selling price = 120 units × R18,000.00 = R2,160,000.00

Margin of safety (%) = Margin of safety units ÷ Expected sales units = 120 ÷ 420 = 28.57%

### 1.4 Units and sales value required to achieve the Board target profit

Required units = (Fixed costs + Target profit) ÷ Contribution per unit

Required units = (R1,980,000.00 + R990,000.00) ÷ R6,600.00 = R2,970,000.00 ÷ R6,600.00 = 450 units

Required sales value = Required units × Selling price = 450 units × R18,000.00 = R8,100,000.00

### 1.5 Evaluation of the proposed 5% price-reduction campaign

New selling price = R18,000.00 × (1 − 5%) = R18,000.00 × 0.95 = R17,100.00

New contribution per unit = R17,100.00 − R11,400.00 (unit variable costs unchanged) = R5,700.00

New fixed costs = R1,980,000.00 + R180,000.00 additional marketing = R2,160,000.00

New break-even (units) = R2,160,000.00 ÷ R5,700.00 = 378.9, rounded up to 379 units

Expected profit under campaign = (520 units × R5,700.00) − R2,160,000.00 = R2,964,000.00 − R2,160,000.00 = R804,000.00

| Item | Current plan | Proposed campaign |
|---|---|---|
| Selling price per unit | R18,000.00 | R17,100.00 |
| Contribution per unit | R6,600.00 | R5,700.00 |
| Contribution margin ratio | 36.67% | 33.33% |
| Fixed costs | R1,980,000.00 | R2,160,000.00 |

| | | |
|---|---|---|
| Break-even units | 300 units | 379 units |
| Expected sales volume | 420 units | 520 units |
| Margin of safety (units) | 120 units | 141 units |
| Margin of safety (%) | 28.57% | 27.12% |

Advice: the campaign increases expected profit by R12,000.00 (R804,000.00 − R792,000.00) and retains a healthy margin of safety of 27.12% at the forecast volume of 520 units. It does, however, raise the break-even point by 79 units and lower the contribution margin ratio from 36.67% to 33.33%, meaning the campaign is more sensitive to a shortfall in volume. On balance, the campaign should be approved, provided the 520-unit sales forecast is actively monitored against actuals each month.

**Component 2: Job Costing and Project Quotation**

Job costing traces direct materials and direct labour to a specific contract and applies manufacturing overhead using a predetermined departmental absorption rate, which is the basis used below to cost and price the KwaDabeka Digital Learning Hub (Drury, 2018:47).

**2.1 Overhead absorption rate for each production department**

Fabrication overhead absorption rate = Budgeted fabrication overhead ÷ Budgeted machine hours = R3,600,000.00 ÷ 30,000 hours = R120.00 per machine hour

Installation overhead absorption rate = Budgeted installation overhead ÷ Budgeted direct labour hours = R2,400,000.00 ÷ 24,000 hours = R100.00 per direct labour hour

**2.2 KwaDabeka project job cost sheet**

Fabrication overhead applied = 4,200 machine hours × R120.00 = R504,000.00

Installation overhead applied = 3,600 direct labour hours × R100.00 = R360,000.00

| **Cost Elements** | **Basis / working** | **Amount (R)** |
|---|---|---|
| Direct materials | Given | 1,250,000.00 |
| Fabrication direct labour | Given | 520,000.00 |

| | | |
|---|---|---|
| Installation direct labour | Given | 360,000.00 |
| Fabrication overhead applied | 4,200 hrs × R120.00 | 504,000.00 |
| Installation overhead applied | 3,600 hrs × R100.00 | 360,000.00 |
| **Total job cost** | **Sum of above** | **2,994,000.00** |

### 2.3 Normal quotation using the 25% mark-up on cost

Normal quotation = Total job cost × (1 + Mark-up %) = R2,994,000.00 × 1.25 = R3,742,500.00

### 2.4 Project profit, mark-up on cost and profit margin at the client maximum price

Profit at client maximum price = Client maximum price − Total job cost = R3,650,000.00 − R2,994,000.00 = R656,000.00

Mark-up on cost = Profit ÷ Total job cost = R656,000.00 ÷ R2,994,000.00 = 21.91%

Profit margin on selling price = Profit ÷ Client maximum price = R656,000.00 ÷ R3,650,000.00 = 17.97%

The client maximum price of R3,650,000.00 is R92,500.00 below the normal quotation of R3,742,500.00 (R3,742,500.00 − R3,650,000.00) and yields a mark-up of 21.91%, short of the company's 25% mark-up policy, though the project remains profitable in absolute terms.

### 2.5 Over/under-applied overhead and evaluation of acceptance

Fabrication overhead variance = Overhead applied − Actual overhead = R3,660,000.00 − R3,740,000.00 = (R80,000.00) — under-applied

Installation overhead variance = Overhead applied − Actual overhead = R2,340,000.00 − R2,280,000.00 = R60,000.00 — over-applied

Fabrication overhead was under-recovered by R80,000.00 for the quarter, indicating that actual fabrication costs are running above the standard rate used to cost jobs, including KwaDabeka. Installation overhead was over-recovered by R60,000.00. Recommendation:

accept the KwaDabeka project at the client maximum price. It clears total cost and contributes R656,000.00 of profit even allowing for the fabrication under-recovery trend. Two non-financial considerations support this: (1) the project strengthens MMS's public-sector and community profile, consistent with its positioning as a locally responsible supplier; and (2) it demonstrates delivery capability for future education-sector contracts. Against acceptance, the operations manager's capacity concern is valid — the project currently uses available capacity, but late design changes could require overtime, eroding the already-thin 21.91% mark-up, so a change-control clause is recommended before signing.

**Component 3: Financial Statement Analysis and Interpretation**

Ratio analysis translates financial statement data into standardised measures of liquidity, profitability, efficiency and gearing, enabling comparison across years (Correia et al., 2015:4-3). Receivable days, inventory days and payable days below use average balances (opening plus closing, divided by two); all other ratios use closing balances, and a 365-day year is assumed throughout.

**3.1 Ratio calculations**

Current ratio = Current assets ÷ Current liabilities

2025: (R2,000,000.00 + R2,400,000.00 + R100,000.00) ÷ (R2,200,000.00 + R500,000.00 + R300,000.00) = R4,500,000.00 ÷ R3,000,000.00 = 1.50

2024: (R1,400,000.00 + R1,500,000.00 + R600,000.00) ÷ (R1,400,000.00 + R400,000.00 + R300,000.00) = R3,500,000.00 ÷ R2,100,000.00 = 1.67

Quick ratio = (Current assets − Inventory) ÷ Current liabilities

2025: (R4,500,000.00 − R2,000,000.00) ÷ R3,000,000.00 = R2,500,000.00 ÷ R3,000,000.00 = 0.83

2024: (R3,500,000.00 − R1,400,000.00) ÷ R2,100,000.00 = R2,100,000.00 ÷ R2,100,000.00 = 1.00

Receivable days = Average trade receivables ÷ Credit sales × 365

2025: [(R2,400,000.00 + R1,500,000.00) ÷ 2] ÷ R9,600,000.00 × 365 = R1,950,000.00 ÷ R9,600,000.00 × 365 = 74.14 days

2024: [(R1,500,000.00 + R1,300,000.00) ÷ 2] ÷ R7,500,000.00 × 365 = R1,400,000.00 ÷ R7,500,000.00 × 365 = 68.13 days

Inventory days = Average inventory ÷ Cost of sales × 365

2025: [(R2,000,000.00 + R1,400,000.00) ÷ 2] ÷ R7,800,000.00 × 365 = R1,700,000.00 ÷ R7,800,000.00 × 365 = 79.55 days

2024: [(R1,400,000.00 + R1,200,000.00) ÷ 2] ÷ R6,200,000.00 × 365 = R1,300,000.00 ÷ R6,200,000.00 × 365 = 76.53 days

Payable days = Average trade payables ÷ Credit purchases × 365

2025: [(R2,200,000.00 + R1,400,000.00) ÷ 2] ÷ R6,200,000.00 × 365 = R1,800,000.00 ÷ R6,200,000.00 × 365 = 105.97 days

2024: [(R1,400,000.00 + R1,100,000.00) ÷ 2] ÷ R5,200,000.00 × 365 = R1,250,000.00 ÷ R5,200,000.00 × 365 = 87.74 days

Gross profit margin = Gross profit ÷ Revenue: 2025 = R4,200,000.00 ÷ R12,000,000.00 = 35.00%; 2024 = R3,800,000.00 ÷ R10,000,000.00 = 38.00%

Operating profit margin = Operating profit (EBIT) ÷ Revenue: 2025 = R1,200,000.00 ÷ R12,000,000.00 = 10.00%; 2024 = R1,300,000.00 ÷ R10,000,000.00 = 13.00%

Net profit margin = Profit after tax ÷ Revenue: 2025 = R657,000.00 ÷ R12,000,000.00 = 5.48%; 2024 = R803,000.00 ÷ R10,000,000.00 = 8.03%

Return on assets = Profit after tax ÷ Total assets: 2025 = R657,000.00 ÷ R11,000,000.00 = 5.97%; 2024 = R803,000.00 ÷ R8,500,000.00 = 9.45%

Return on equity = Profit after tax ÷ Equity: 2025 = R657,000.00 ÷ R5,000,000.00 = 13.14%; 2024 = R803,000.00 ÷ R4,600,000.00 = 17.46%

Interest cover = Operating profit (EBIT) ÷ Finance costs: 2025 = R1,200,000.00 ÷ R300,000.00 = 4.00 times; 2024 = R1,300,000.00 ÷ R200,000.00 = 6.50 times

Debt-to-equity = Long-term borrowings ÷ Equity: 2025 = R3,000,000.00 ÷ R5,000,000.00 = 0.60 (60%); 2024 = R1,800,000.00 ÷ R4,600,000.00 = 0.39 (39%)

| **Ratio** | **2025** | **2024** |
|---|---|---|
| Current ratio | 1.50 | 1.67 |
| Quick ratio | 0.83 | 1.00 |

| | | |
|---|---|---|
| Receivable days | 74.1 days | 68.1 days |
| Inventory days | 79.6 days | 76.5 days |
| Payable days | 106.0 days | 87.7 days |
| Gross profit margin | 35.00% | 38.00% |
| Operating profit margin | 10.00% | 13.00% |
| Net profit margin | 5.48% | 8.03% |
| Return on assets | 5.97% | 9.45% |
| Return on equity | 13.14% | 17.46% |
| Interest cover | 4.00 times | 6.50 times |
| Debt-to-equity | 0.60 (60%) | 0.39 (39%) |
| Current ratio | 1.50 | 1.67 |

**3.2 Interpretation of trends**

- Liquidity has weakened: the current ratio fell from 1.67 to 1.50, and the quick ratio dropped below 1.00 (to 0.83), meaning liquid assets no longer cover current liabilities without selling inventory. MMS cannot assume it can self-fund the growth campaign, KwaDabeka project and equipment purchase from working capital alone.
- The working capital cycle has lengthened: receivable days rose from 68.1 to 74.1 days and inventory days from 76.5 to 79.6 days, while payable days rose further still, from 87.7 to 106.0 days — MMS is collecting more slowly, holding more stock, and relying increasingly on supplier credit, which is unsustainable and reinforces why supplier payments should not be delayed further.
- Profitability has declined across every margin: gross margin fell from 38.00% to 35.00%, operating margin from 13.00% to 10.00%, and net margin from 8.03% to 5.48%. Costs are outpacing revenue growth, strengthening the case for disciplined project costing rather than accepting work at eroded margins.
- Returns and gearing point to rising financial risk: ROA fell from 9.45% to 5.97% and ROE from 17.46% to 13.14%, while gearing rose sharply from 39% to 60% and interest cover fell from 6.50 to 4.00 times. MMS has less headroom to absorb further borrowing, supporting short-term rather than long-term financing for the November cash shortfall identified in Component 4.

**Component 4: Operational and Cash Budgeting**

The operational budgets below convert the sales forecast into production, materials, labour and overhead requirements, which then feed the October–December cash budget (Correia et al., 2015:9-2; Van Horne and Wachowicz, 2008:186).

**4.1 Sales budget, October–December**

| **Month** | **Units** | **Sales Value(R)** |
|---|---|---|
| October | 140 | 2,520,000.00 |
| November | 180 | 3,240,000.00 |
| December | 220 | 3,960,000.00 |
| **Total** | **540** | **9,720,000.00** |

**4.2 Production budget**

Production = Sales units + Closing finished goods − Opening finished goods; closing finished goods = 20% of following month's sales

| **Month** | **Sales Units** | **Closing FG(20% next month)** | **Opening FG** | **Production units** |
|---|---|---|---|---|
| October | 140 | 36 (20% × 180) | 28 | 148 |
| November | 180 | 44 (20% × 220) | 36 | 188 |
| December | 220 | 32 (20% × 160) | 44 | 208 |

January production is required to determine December's closing aluminium requirement (Component 4.3):

January production = 160 (Jan sales) + 34 (20% × 170 Feb sales) − 32 (Dec closing FG) = 162 units

### 4.3 Recycled aluminium usage and purchases budget, and total direct materials purchases

Each unit requires 40 kg of aluminium at R80.00/kg. Closing aluminium inventory = 15% of the following month's production requirement (in kg); opening inventory 1 October = 888 kg

| Month | Production req.(kg) | Closing (kg) | Opening (kg) | Purchases (kg) | Purchase (R) |
|---|---|---|---|---|---|
| October | 5,920 (148×40) | 1,128 (15%×7,520) | 888 | 6,160 | 492,800.00 |
| November | 7,520 (188×40) | 1,248 (15%×8,320) | 1,128 | 7,640 | 611,200.00 |
| December | 8,320 (208×40) | 972 (15%×6,480) | 1,248 | 8,044 | 643,520.00 |

Other direct materials are acquired just-in-time at R4,000.00 per unit produced. Total direct materials purchases combine the aluminium purchases above with this JIT amount:

| Month | Aluminium purchases (R) | Other DM – JIT (R) | Total DM purchases (R) |
|---|---|---|---|
| October | 492,800.00 | 592,000.00 (148×4,000) | 1,084,800.00 |
| November | 611,200.00 | 752,000.00 (188×4,000) | 1,363,200.00 |
| December | 643,520.00 | 832,000.00 (208×4,000) | 1,475,520.00 |

### 4.4 Direct labour budget and manufacturing overhead budget

Direct labour cost = Production units × 8 hours × R300.00 per hour

Variable overhead = Production units × R1,200.00 per unit; fixed overhead = R450,000.00 per month (including R60,000.00 non-cash depreciation*)*

| Month | Production units | Direct labour (R) | Variable OH (R) | Fixed OH (R) | Total mfg. OH (R) |
|---|---|---|---|---|---|
| October | 148 | 355,200.00 | 177,600.00 | 450,000.00 | 627,600.00 |
| November | 188 | 451,200.00 | 225,600.00 | 450,000.00 | 675,600.00 |
| December | 208 | 499,200.00 | 249,600.00 | 450,000.00 | 699,600.00 |

**4.5 Cash budget before financing, October–December**

Basis: NexPod collections are 20% in the month of sale, 60% in the following month and 20% in the second month after sale — this requires August (R1,800,000.00) and September (R2,160,000.00) sales for the collection tail. KwaDabeka receipts follow the 20% / 50% / 30% milestone pattern on the R3,650,000.00 client maximum price. NexPod direct materials are paid 60% in the month of purchase and 40% the following month (September purchases were R900,000.00). Direct labour, cash overheads, delivery/commission and selling and administration costs are paid in the month incurred; KwaDabeka materials and labour cash payments are as stated in Exhibit 5. Manufacturing overhead cash payments exclude the R60,000.00/month depreciation, which is a non-cash item.

October NexPod collections = (20% × R2,520,000.00) + (60% × R2,160,000.00) + (20% × R1,800,000.00) = R504,000.00 + R1,296,000.00 + R360,000.00 = R2,160,000.00

November NexPod collections = (20% × R3,240,000.00) + (60% × R2,520,000.00) + (20% × R2,160,000.00) = R648,000.00 + R1,512,000.00 + R432,000.00 = R2,592,000.00

December NexPod collections = (20% × R3,960,000.00) + (60% × R3,240,000.00) + (20% × R2,520,000.00) = R792,000.00 + R1,944,000.00 + R504,000.00 = R3,240,000.00

October NexPod materials paid = (60% × R1,084,800.00) + (40% × R900,000.00) = R650,880.00 + R360,000.00 = R1,010,880.00

November NexPod materials paid = (60% × R1,363,200.00) + (40% × R1,084,800.00) = R817,920.00 + R433,920.00 = R1,251,840.00

December NexPod materials paid = (60% × R1,475,520.00) + (40% × R1,363,200.00) = R885,312.00 + R545,280.00 = R1,430,592.00

| Item | October (R) | November (R) | December (R) |
|---|---|---|---|
| Receipts | | | |
| NexPod customer collections | 2,160,000.00 | 2,592,000.00 | 3,240,000.00 |
| KwaDabeka milestone receipts | 730,000.00 | 1,825,000.00 | 1,095,000.00 |
| **Total receipts** | **2,890,000.00** | **4,417,000.00** | **4,335,000.00** |
| Payments | | | |
| NexPod direct materials | 1,010,880.00 | 1,251,840.00 | 1,430,592.00 |
| KwaDabeka direct materials | 625,000.00 | 625,000.00 | 0.00 |
| NexPod direct labour | 355,200.00 | 451,200.00 | 499,200.00 |
| KwaDabeka direct labour | 220,000.00 | 360,000.00 | 300,000.00 |
| Manufacturing overhead (cash) | 567,600.00 | 615,600.00 | 639,600.00 |
| Delivery and sales commission | 84,000.00 | 108,000.00 | 132,000.00 |
| Selling and administration | 210,000.00 | 210,000.00 | 210,000.00 |
| Equipment purchase | 0.00 | 1,200,000.00 | 0.00 |
| Income tax paid | 0.00 | 0.00 | 300,000.00 |
| **Total payments** | **3,072,680.00** | **4,821,640.00** | **3,511,392.00** |
| **Net cash flow before financing** | **(182,680.00)** | **(404,640.00)** | **823,608.00** |

### 4.6 External financing required

| Item | October (R) | November (R) | December (R) |
|---|---|---|---|
| Opening cash balance | 500,000.00 | 317,320.00 | 250,000.00 |
| Net cash flow before financing | (182,680.00) | (404,640.00) | 823,608.00 |
| Cash balance before financing | 317,320.00 | (87,320.00) | 1,073,608.00 |
| External financing raised / (repaid) | 0.00 | 337,320.00 | (337,320.00) |
| **Closing cash balance** | **317,320.00** | **250,000.00** | **736,288.00** |

Working: in November the cash balance before financing (R(87,320.00)) falls below the Board's R250,000.00 minimum, so financing of R337,320.00 (R250,000.00 − R(87,320.00)) is drawn to restore the minimum balance. In December, the surplus of R1,073,608.00 is more than sufficient to repay the full R337,320.00, leaving a closing balance of R736,288.00. Recommended action to reduce the financing need without breaching supplier terms: negotiate a modest early-settlement discount to accelerate NexPod customer collections, or time the R1,200,000.00 equipment payment to December, once the KwaDabeka final milestone has been received, rather than committing to it in November.

## Component 5: Cash Flow Statement and Integrated Board Recommendation

### 5.1 Statement of cash flows

The statement of cash flows below is prepared using the indirect method prescribed by IAS 7, which reconciles profit before tax to net cash flow by classifying activity into operating, investing and financing categories (International Accounting Standards Board, 2007: para.18).

| Item | Amount (R) |
|---|---|

| | |
|---|---|
| Cash flows from operating activities | |
| Profit before tax | 1,000,000.00 |
| Adjustment: depreciation (non-cash) | 700,000.00 |
| Adjustment: interest paid (added back) | 200,000.00 |
| Operating profit before working capital changes | 1,900,000.00 |
| Increase in inventory | (400,000.00) |
| Increase in trade receivables | (600,000.00) |
| Increase in trade payables | 300,000.00 |
| Cash generated from operations | 1,200,000.00 |
| Interest paid | (200,000.00) |
| Income tax paid | (250,000.00) |
| **Net cash from operating activities** | **750,000.00** |
| Cash flows from investing activities | |
| Purchase of property, plant and equipment | (1,800,000.00) |
| Proceeds from disposal of equipment | 200,000.00 |
| **Net cash used in investing activities** | **(1,600,000.00)** |
| Cash flows from financing activities | |
| Proceeds from issue of shares | 500,000.00 |
| Proceeds from new long-term borrowings | 800,000.00 |
| Repayment of borrowings | (300,000.00) |
| Dividends paid | (150,000.00) |
| **Net cash from financing activities** | **850,000.00** |
| Net increase in cash and cash equivalents (R750,000.00 − R1,600,000.00 + R850,000.00) | 0.00 |
| Opening cash and cash equivalents | 300,000.00 |

The statement reconciles to a nil net movement in cash, with the closing balance of R300,000.00 equal to the opening balance. Operating cash generation of R750,000.00 is absorbed by net capital investment of R1,600,000.00, and is only offset by net external financing of R850,000.00 — indicating that growth is currently being funded more by external capital (shares and borrowings) than by internally generated cash, consistent with the rise in gearing identified in Component 3.2.

**5.2 Integrated recommendation to the Board**

- Growth campaign: approve the 5% price-reduction campaign (Component 1.5). It raises expected profit from R792,000.00 to R804,000.00, and the 520-unit forecast retains an adequate 27.12% margin of safety above the higher break-even point of 379 units. Sales performance should be tracked monthly against the 520-unit target.
- Custom project: accept the KwaDabeka project at the client's maximum price of R3,650,000.00 (Component 2.5). It generates R656,000.00 of profit and strengthens MMS's public-sector positioning, but the 21.91% mark-up is below the 25% policy benchmark, and fabrication overhead is currently under-recovered by R80,000.00 for the quarter. Acceptance should be conditional on a change-control clause covering late design changes, given the operations manager's valid capacity concern, and the quotation must include the full installation overhead.
- Equipment purchase: proceed with the R1,200,000.00 equipment purchase, but consider timing the payment for December rather than November (Component 4.6) to reduce the peak external financing requirement.
- Liquidity and financing: the October–December cash budget shows a financing need of approximately R337,320.00 in November, fully self-correcting by December (Component 4.6). This should be covered by a short-term facility, such as an overdraft, rather than long-term debt, given that gearing has already risen from 39% to 60% and interest cover has fallen from 6.50 to 4.00 times over the past year (Component 3.2).
- Working-capital control: receivable days, inventory days and payable days have all lengthened over the past year, and the quick ratio has fallen below 1.00 (Component 3.2). Management should tighten credit control on NexPod and custom-project receivables and review inventory policy, rather than relying further on extended supplier credit.
- Ethical issue: the sales director has proposed excluding part of the installation overhead from the KwaDabeka quotation on the basis that the cost will be incurred regardless of the decision and delaying supplier payments beyond agreed terms to

avoid showing the November financing requirement. Both proposals should be declined. Professional accounting bodies require members to observe integrity and professional competence and due care in the presentation of financial information (South African Institute of Chartered Accountants, 2018: s.110-130). Excluding legitimate installation overhead would understate the true cost of the job and misrepresent its profitability to the Board; installation overhead is a normal cost of fulfilling the contract under the department's absorption policy and must be applied consistently. Delaying supplier payments beyond agreed terms does not resolve the underlying shortfall — it merely conceals it from the Board and shifts the cost onto suppliers, risking contractual breach, loss of goodwill and reputational damage, given MMS's stated stakeholder commitments to suppliers. The November shortfall should instead be disclosed transparently and funded through the short-term financing arrangement recommended above.

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